Hence, it is necessary to include a filter that avoids these kinds of false breakouts/breakdowns.

The below filter is helpful to pick only the successful trades (higher probability) and avoid false moves.

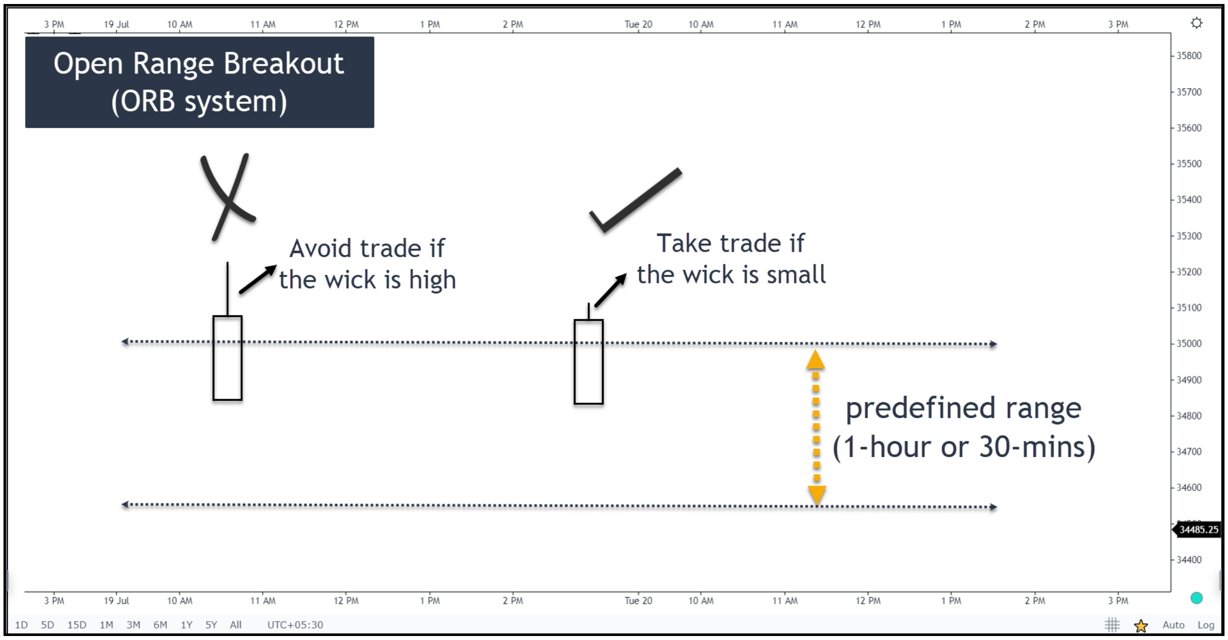

Image 5.15 – Filter to avoid false moves in ORB

When the 'wick' of the breakout candle (which breaks the 1-hour range) is more than 10-20% of the entire body (of the breakout candle), then it is better to avoid the long trade as there is a high probability of false breakout.

If the wick is less than 10-20%, then we can plan a long trade above the high of the breakout candle, keeping a stop-loss below the low of the breakout candle (or 1% from the entry price).

Back Testing Settings

Initial Capital – Rs.350,000

Trading Instrument – Banknifty Futures

Timeframe – 15 Min chart

Trading Window – 2010 to 2021